



Second-Quarter 2023 Results

August 2, 2023

Forward-Looking Statements

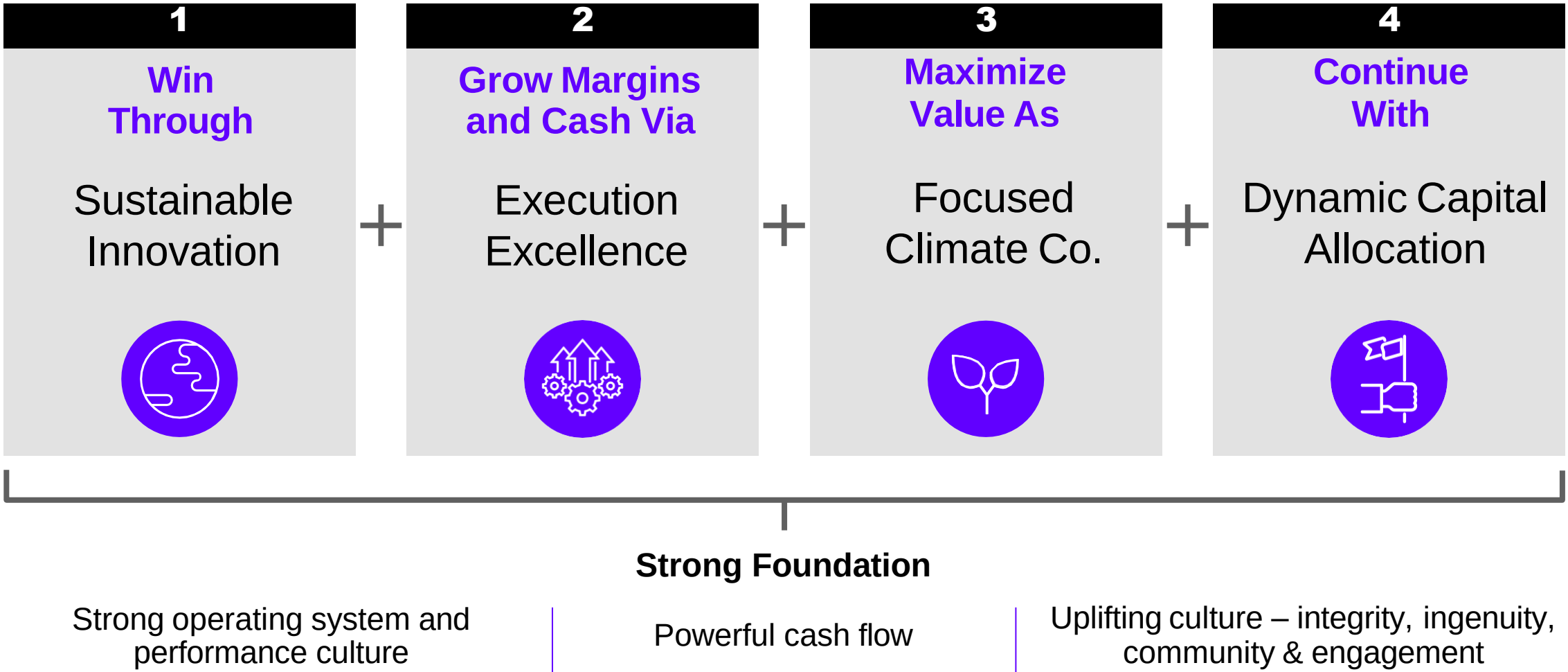
This news release includes “forward-looking” statements within the meaning of securities laws, which are statements that are not historical facts, including statements that relate to our future financial performance and targets, including revenue, EPS, operating income, operation margin and earnings; our business operations; demand for our products and services, including bookings and backlog; capital deployment, including the amount and timing of our dividends, our share repurchase program, and our capital allocation strategy; including acquisitions and investments, if any; our projected free cash flow and usage of such cash; our available liquidity; performance of the markets in which we operate; restructuring activity and cost savings associated with such activity; our foreign exchange rate outlook, our ESG and other sustainability initiatives and our effective tax rate.

These forward-looking statements are based on our current expectations and are subject to risks and uncertainties, which may cause actual results to differ materially from our current expectations. Such factors include, but are not limited to, the impact of the global COVID-19 pandemic or future health care emergencies on our business, our suppliers and our customers; global economic conditions, including recessions and economic downturns, inflation, volatility in interest rates and foreign exchange; changing energy prices; the Russia-Ukraine conflict; financial institution disruptions; climate change and our sustainability strategies and goals; commodity shortages; supply chain constraints and price increases; government regulation; restructurings activity and cost savings associated with such activity; secular trends toward decarbonization, energy efficiency and internal air quality, the outcome of any litigation, including the risks and uncertainties associated with the Chapter 11 proceedings for our deconsolidated subsidiaries Aldrich Pump LLC and Murray Boiler LLC; cybersecurity risks; and tax audits and tax law changes and interpretations.

Additional factors that could cause such differences can be found in our Form 10-K for the year ended December 31, 2022, as well as our subsequent reports on Form 10-Q and other SEC filings. New risks and uncertainties arise from time to time, and it is impossible for us to predict these events and how they may affect the Company. We assume no obligation to update these forward-looking statements.

This news release also includes non-GAAP financial information, which should be considered supplemental to, not a substitute for, or superior to, the financial measure calculated in accordance with GAAP. The definitions of our non-GAAP financial information are included as an appendix in our presentation and reconciliations can be found in our earnings releases for the relevant periods located on our website at www.tranetechnologies.com. Unless otherwise indicated, all data beyond the second quarter of 2023 are estimates.

Focused Strategy Delivers Differentiated Shareholder Returns



Strong Q2 & 1H Results. Raising FY 2023 Guidance on Strong Execution, Healthy Markets & Exceptional Backlog Visibility

- **Strong Q2 performance across diversified and resilient global portfolio**
 - Organic revenues* up 11%; adj. operating margins* up 110 basis points; adj EPS* up 24%
 - Cont'd strong bookings near record highs, partially impacted by normalization of resi business; enterprise bookings up 1% excl. resi decline
 - Strong organic leverage of 30%+ across enterprise and in all segments led by CHVAC in all regions, partially offset by ~GM% resi deleverage
 - Strong leverage on volume, productivity and favorable price more than offsetting inflation and supply chain related costs
- **Absolute demand remains robust, with particular strength across CHVAC globally**
 - CHVAC organic bookings up nearly 40% in each segment on a 3-yr stack; Q2 revenues up high-teens in Americas and EMEA, up 45% in Asia
 - Global CHVAC book-to-bill greater than 1X; demonstrative of strong, broad-based demand levels
 - TK on track to outperform end markets as expected; resi normalization process continues and is more than offset by continued CHVAC opportunities and execution
- **Well-positioned for continued growth in 2023 and 2024 with strong Q2 ending backlog**
 - Backlog of \$7B, up 7% YOY and 2.5X historical norms; ~\$2B of \$7B is for FY 2024, ~5x historical norms
 - Backlog expected to remain significantly elevated into 2024, greater than \$6B**
 - Historical norms for backlog are ~20% of next twelve months revs
- **Continued execution of balanced capital allocation strategy. Financial position, liquidity and balance sheet bolster resilience and optionality**
 - Year-to-date deployed \$1.2B, incl. \$341M dividends, \$535M M&A, \$300M share repurchases; expect capital deployment of ~\$2.5B in 2023
 - On track to deliver free cash flow = / > 100% of adj. net earnings*
- **Raising 2023 revenue and EPS guidance**
 - Expect organic revenue growth of approximately +8%, up from a range of +7% to +8% prior FY guidance
 - Expect adj. EPS of \$8.80 to \$8.90 (+20% to 21%), up from \$8.30 to \$8.50 prior (see p.18 for more detail)
- **Proven strategy and track record of strong execution driving superior innovation for customers at apex of secular megatrends of decarbonization, energy efficiency and IAQ continues to support differentiated financial performance and shareholder returns over the long term**

*Includes certain Non-GAAP financial measures. See the company's Q2 2023 earnings release for additional details and reconciliations

** Minimum company FY 2023 year-end backlog expectation, this is not a forecast

Strong Broad-Based Revenue Growth; Robust Absolute Bookings Levels in Healthy End Markets. Backlog of \$7B is 2.5X Historical Norms

Q2 Organic* Y-O-Y Change

Bookings Revenue

Enterprise	-5%	+ 11%
Americas	- 8%	+ 9%
Commercial HVAC	-	+
Residential HVAC	-	-
Transport	+	+
EMEA	+ 14%	+ 8%
Commercial HVAC	+	+
Transport	+	-
Asia Pacific	+ 6%	+ 41%
Commercial HVAC	+	+
Transport	-	+

Americas – bookings down 8%, ex-resi down LSD; revs up 9%

- CHVAC bookings down MSD vs high-teens prior year growth comp (+~40% 3-yr stack). Revs up high-teens, w/ strong growth in equip and svcs, up ~30% and HSD, respectively
- Resi HVAC bookings and revs continue to normalize as expected. Bookings down ~20%. Revs down low-teens vs +30% prior year growth comp
- Transport bookings up ~40%, w/ revs up >30%. On track to outperform market
- Americas backlog ~3X historical norms

EMEA

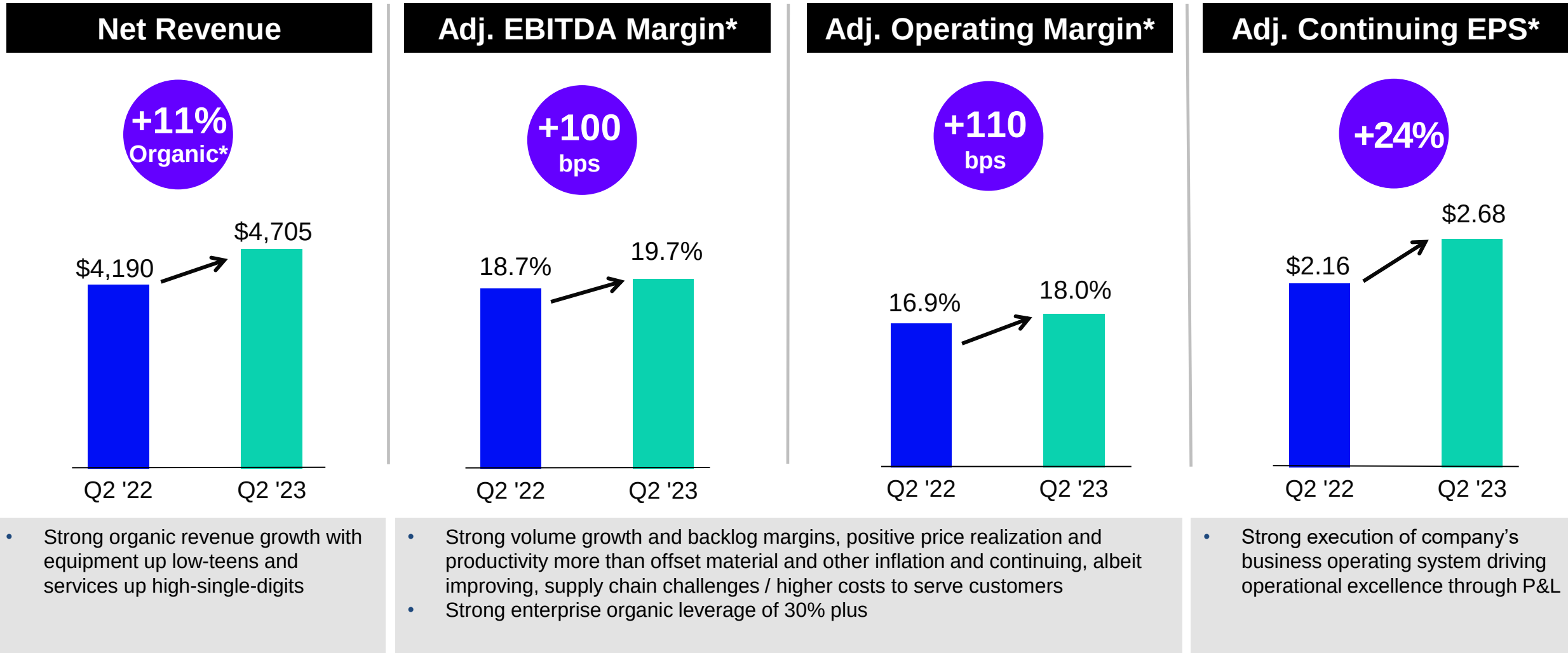
- CHVAC bookings up MSD vs +low-teens prior year growth comp (+35% 3-yr stack); revs up high-teens, w/ strong growth in equip and svcs, up ~25% and HSD, respectively
- Transport bookings up ~25% w/ revs down LSD; on track to outperform market
- EMEA backlog approximately 70% more than historical norms

Asia Pacific

- Asia bookings up 6% vs 16% prior year growth comp, revs up ~40%
- China bookings up ~20%, revs up ~40%
- CHVAC bookings up MSD vs +high-teens prior year growth comp (+~40% 3-yr stack), revs +45%; w/ strong growth in equip and svcs
- Asia backlog approximately 70% more than historical norms

*Organic bookings and organic revenues exclude acquisitions and currency

Robust Revenue Growth, Margin Expansion and EPS Growth



*Includes certain Non-GAAP financial measures. See the company's Q2 2023 earnings release for additional details and reconciliations.

Strong Broad-Based Organic Revenue Growth and Margin Expansion

\$M	Revenue Org.* Growth	Adj. EBITDA*% vs PY	Adj. OI*% vs PY	Highlights
Americas	\$3,693 +9%	21.4% +70 bps	19.8% +100 bps	- Strong broad based margin expansion - Strong volume growth and backlog margins, positive price realization and productivity, more than offset material and other inflation and continuing, albeit improving, supply chain challenges / higher costs to serve customers - High incremental business reinvestment in each segment supporting sustainability strategy, innovation and growth initiatives
EMEA	\$618 +8%	19.1% +140 bps	17.5% +100 bps	
Asia Pacific	\$395 +41%	21.9% +660 bps	21.0% +670 bps	

* Includes certain Non-GAAP financial measures. See the company's Q2 2023 earnings release for additional details and reconciliations.

Outlook for Healthy 2023 Growth and Continued Strong Underlying Demand for Sustainable Solutions

Americas	Commercial HVAC • Strong demand for innovative solutions driving robust backlog; Data center / education / healthcare / high-tech industrial - all remain strong • Leading systems & services portfolio, best-in-class execution through BOS; customers' partner of choice for decarb, energy efficiency & healthy spaces Residential HVAC • 1H impacted by mild temperatures into cooling season, normalization of channel inventory; low-teens 2Q23 rev decline largely owing to prior year +30% growth comp • Expect resi normalization process to continue in Q3 but improve from Q2. Expect normalization to be complete in 2023 • Expect 2023 unit volumes down ~HSD; no change to our constructive view of resi markets 2024 and beyond aided by policy & reg tailwinds Transport • ACT weighted avg mkt growth outlook revised modestly lower in 2023 down ~LSD from flattish. 2023 ACT trailer fcst 42.5K (45K prior) due to OEM prod constraints • TK outlook unchanged. Expect to outperform end mkts w/ ~+LSD-MSD rev growth 2023 – innovation-led; diversified, resilient portfolio + share gains • Expect TK 3Q23 revs down ~10%, mainly timing related (TK 1H'23 + 20% vs ACT 1H'23 mkts flat); and tough PY comp, TK 3Q'22 +60%
	Commercial HVAC • Continued strong demand for innovative, sustainability-focused products and services; accelerating demand for next-gen Thermal Mgmt Systems • Ongoing regulatory and policy tailwinds across the region Transport • Weighted average market growth outlook stable – down LSD to MSD in 2023, partly reflecting economic uncertainty in region; continue to see high level of demand for our innovative products and solutions • TK outlook unchanged. Expect TK to outperform end mkts w/ flattish revs 2023 – innovation-led; diversified, resilient portfolio + share gains
	China • Environment remains dynamic; China reopening going well with solid economic support; end markets stable with continued strength in data center, electronics, pharma, healthcare, warehousing Rest of Asia • Outlook remains mixed

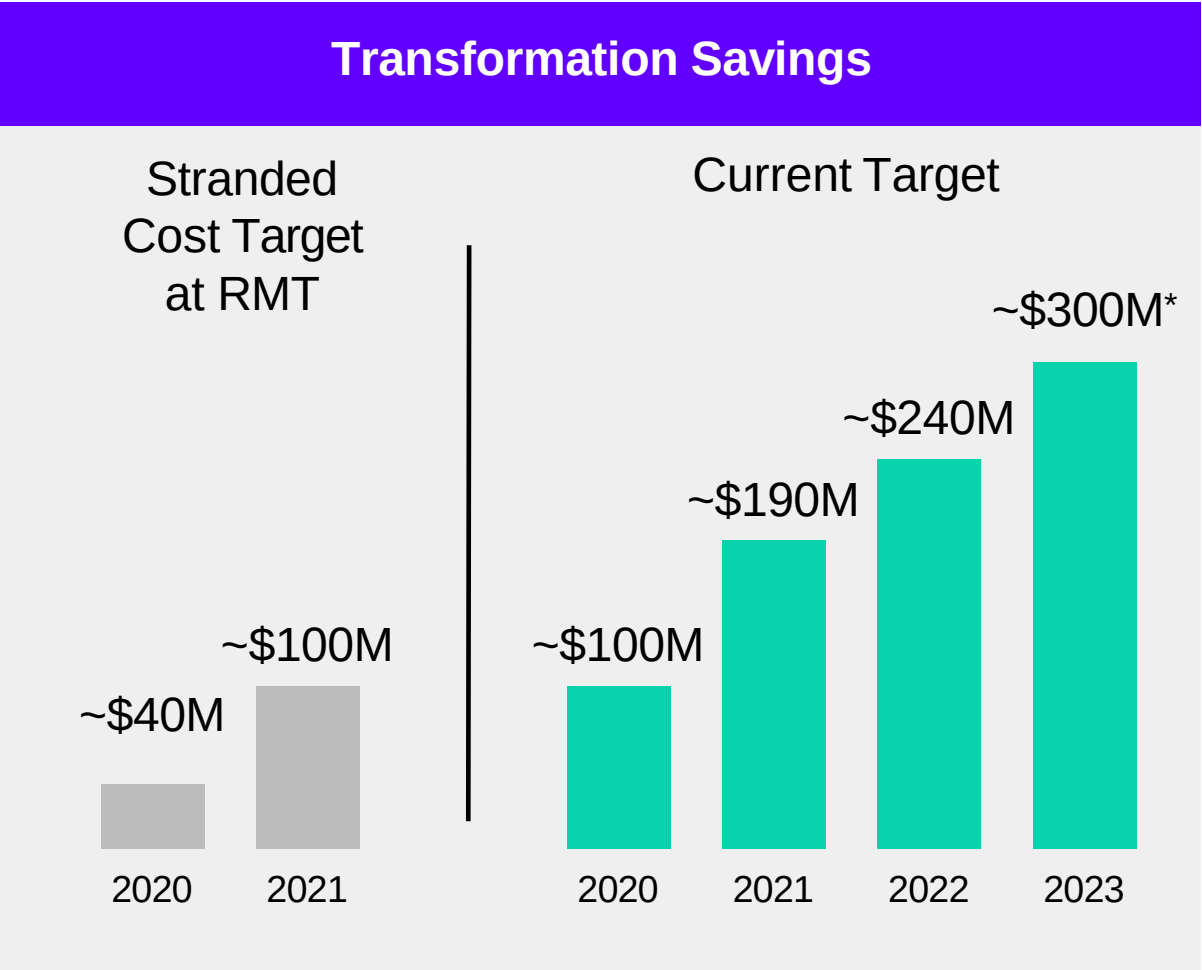
Stacking Effect of Policy and Regulatory Changes Provide Support Across Our Businesses Including:
IRA; education stimulus (ESSER); CHIPS and Science ACT; SEER / refrigerant changes; 2030 EU Climate and Energy Framework

Raising FY'23 Revenue & EPS Guidance to Reflect Favorable Outlook and Continued Strong Execution

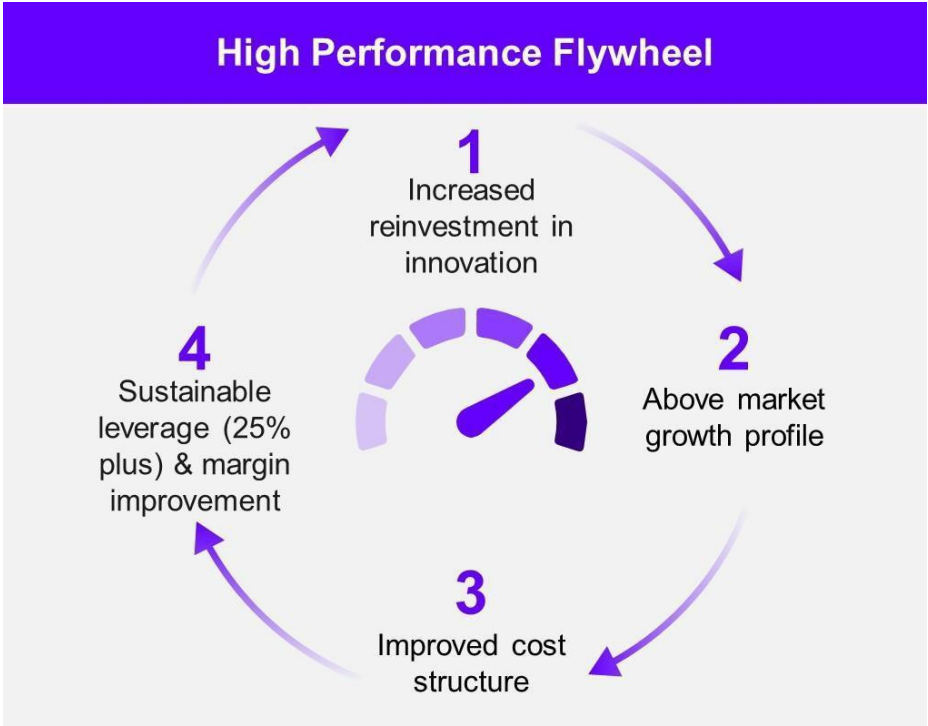
	Prior FY Guidance	Updated FY Guidance*
Organic Revenues	+7% to +8% (+9% to +10% reported, incl. M&A)**	~+8% (~+10% reported, incl. M&A) Expect Q3 ~+7%
Adj. EPS	\$8.30 to \$8.50 (+12.8% to +15.5%)	\$8.80 to \$8.90 (+20% to +21%) Expect Q3 \$2.60 to \$2.65
Operating Leverage	Organic 25%+ Strong core leverage, positive price / cost each quarter	Organic 30%+ Expect Q3 30%+ Strong core leverage, healthy backlog margins, positive price / cost each quarter
Free Cash Flow	= / > Adj. Net Earnings	= / > Adj. Net Earnings

*See pg.18 for additional details

On Track For ~\$300M Total Transformation Savings by Year-End; Business Operating System to Drive Strong Productivity / Cost Savings Over Long Term



- Targeting delivery of incremental savings of ~\$60M in 2023
- ~\$300M transformation savings adds fuel to high-performance flywheel



* Expenses Related to Achieving Cost Reductions; ~\$1M in Q2'23; ~\$132M cumulative 2020, 2021, 2022 and YTD 2023.

Strong FCF Drives Continued Balanced Capital Deployment Strategy

1

Invest for Growth

- Strengthen the core business and extend product & market leadership
- Invest in new technology and innovation
- Strategic investments in value-accretive M&A

2

Maintain Healthy, Efficient Balance Sheet

- Expect to deliver FCF* $\geq$ 100% of adjusted net earnings
- Strengthening balance sheet
- Strong Baa1/BBB investment grade rating offers optionality as markets evolve

3

Return Capital to Shareholders

- Expect to consistently deploy 100% of excess cash over time
- Pay competitive dividend and grow dividend at or above rate of earnings growth over time
- Repurchase shares with excess cash when intrinsic value provides high returns

* Includes certain Non-GAAP financial measures. See the company's Q2 2023 earnings release for additional details and reconciliations.

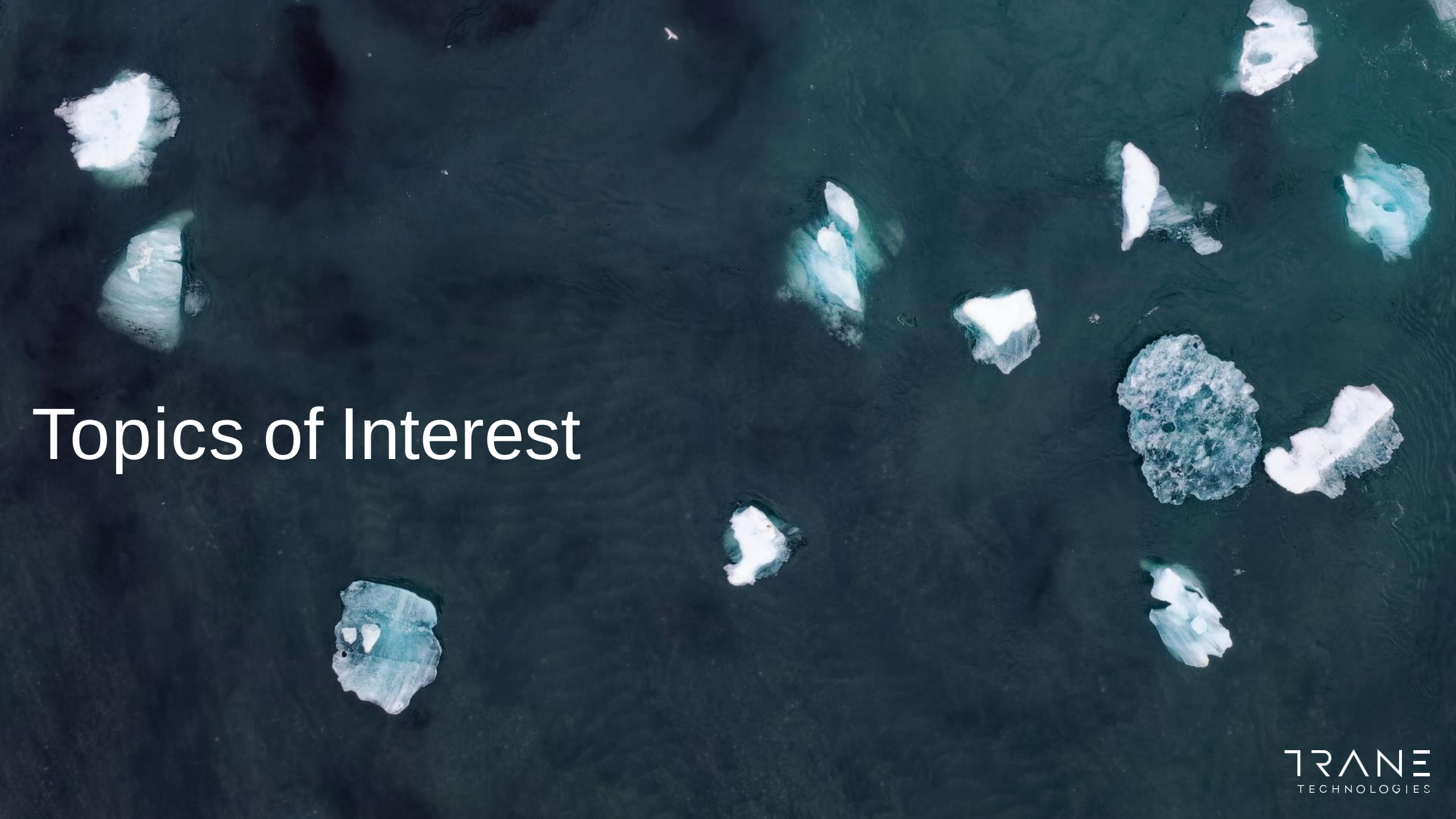
Deployed ~\$1.2B in Balanced Capital Allocation YTD Jun 2023; ~\$2.5B Expected FY 2023

Balanced Capital Deployment

	Actual YTD 2023	Target FY 2023
Dividends	\$341M	~\$0.7B
M&A, investments	\$535M	~\$1.8B
Share repurchases	\$300M	
Total Capital Deployed	\$1,176M	~\$2.5B

Capital Deployment

- Q2 dividends of \$171M (YTD \$341M); increased dividend 12% to \$3.00 per share annualized in March 2023
- YTD share repurchases of \$300M; ~\$2.9B remaining authorization
- Q2 M&A of \$520M (YTD \$535M); pipeline remains attractive; Q2 M&A includes:
 - MTA, a leading technology industrial process cooling business in CHVAC EMEA
 - Helmer Scientific, a precision temperature control cooling technology serving life sciences vertical in Americas CHVAC
- Shares remain attractive, trading below intrinsic value
- Targeting \$2.5B capital deployment in 2023



Topics of Interest

Transport Market Outlook Modestly Lower Per ACT in North America; Unchanged in EMEA. Expect Outperformance in Both Regions in 2023

N.A. and EMEA Market Results / Forecast

Actual 2022 Transport
N.A. Market
Trailer / Truck / APU wtd avg

+13%

(Actual Thermo King 20+%)

2023 Transport N.A.
Market Outlook*
Trailer / Truck / APU wtd avg

-LSD

Actual 2022 Transport
EMEA Market**
Trailer / Truck wtd avg

-15%

(Actual Thermo King +HSD)

2023 Transport EMEA
Market Outlook**
Trailer / Truck wtd avg

-LSD to -MSD

Source: ACT / IHS / Company Estimates

*Includes 2023 N.A. ACT Trailer build July fcst of ~42.5K, or down ~4%, lowered from previous +1.5% on OEM capacity

** Reflects removal of Russia from EMEA Mkt Sizing

Note-Global Thermo King is ~15% of enterprise revenues. Americas / EMEA / Asia represent ~60% / ~35% / ~5% of global Thermo King revenues, respectively

N.A., EMEA Markets Expected to be Modestly Lower in 2023

- **Trailer/Truck/APU: ~2/3rds of Total Transport Revenue**
 - N.A. growth estimates -LSD; EMEA growth estimates -LSD to -MSD
- **Marine/Bus/Rail/Air/Aftermarket (“all other”): ~1/3rd of Total Transport Revenue**
 - N.A. and EMEA weighted avg. growth estimates down -LSD
- **Diversified Americas / EMEA Thermo King significantly outperformed end markets in 2021 and 2022**

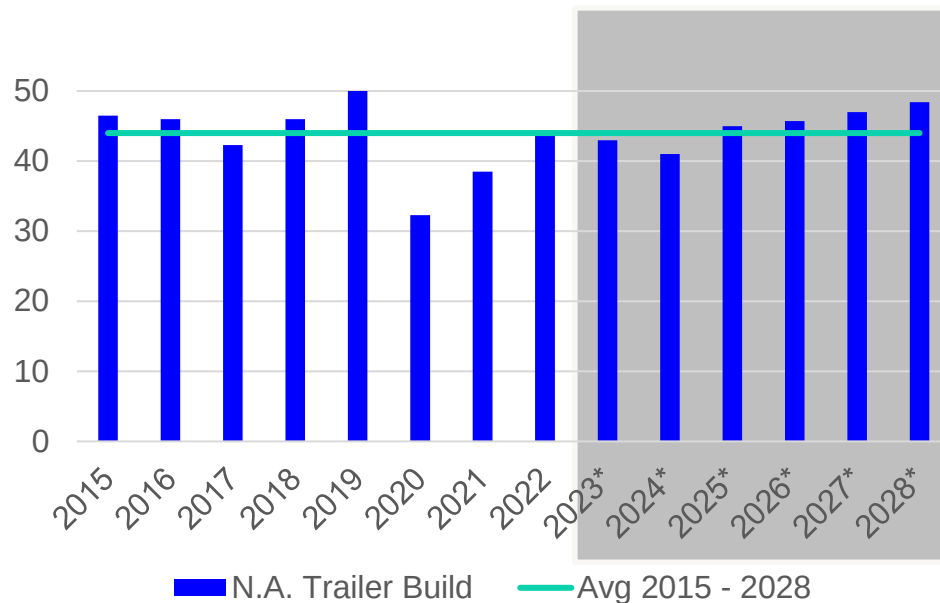
Total Transport wtd avg growth: Truck/Trailer/APU/Marine/Bus/Rail/Air

	2021 Mkt	2021 TK	2022 Mkt	2022 TK	2023 Mkt
Americas	15%	30+%	12%	20+%	-LSD
EMEA	13%	20+%	-9%	+HSD	-LSD to -MSD

- **Expect TK to outperform end markets in both regions in 2023**
 - TK Americas est. + LSD – MSD; TK EMEA est. Flat

ACT Projects North America Refrigerated Trailer Market to Remain Robust, Above 40k units 2023 through 2028

ACT North America Trailer Market Outlook



* Forecast shown in grey
Source: ACT July Forecast

Comments

- ACT 2023 North America Trailer forecast decreased to 42.5k from 45k units on OEM capacity constraints (down 4% from up 1%)
- ACT 2024 North America Trailer forecast decreased to 41k units from 42k units (down LSD YOY)
- Underlying refrigerated trailer demand remains high, average ~44k units per year
- Strong demand forecast through 2028
- Diversified Americas / EMEA Thermo King businesses poised to outperform end markets through continued innovation / execution

IN SUMMARY

Positioned to Outperform Over the Long-Term

Secular Tailwinds

The markets we serve will continue to outgrow GDP, fueled by long-term sustainability megatrends

Sustainability Focused Innovation

We are positioned to outgrow the market and expand margins with market-leading sustainable innovations

Margin Expansion

Our execution excellence and transformational work position us to maximize margins and cash generation

Financial Strength

Our strong balance sheet, exceptional cash generation and balanced capital allocation strategy deliver significant value to shareholders



Appendix

FY'23 Detailed Guidance for Modeling Purposes

Metric	FY Guidance	Commentary
Organic Revenue*	~8%	30%+ organic leverage (increased from 25%+ prior)
M&A	+2%	M&A carries ~3% leverage - nominal contribution given year 1 integration costs. FY impact to enterprise reported leverage is ~4 points lower than organic leverage (each point of M&A reduces year 1 leverage by ~2 points)
Reported Revenue	~10%	
FX	Neutral to FY	
Adj. EPS*	\$8.80 to \$8.90 (+20% to +21%)	Other Items Q3'23: ~7% enterprise organic revenue growth; 30%+ leverage; adj. EPS \$2.60 - \$2.65 2H'23: expect 30%+ organic leverage. M&A adds ~3pts of growth given timing of acq. closings, mainly Q2, vs ~2pts of M&A in 1H. +3pts M&A in 2H = minus 6pts reported vs organic leverage*. FY unchanged on 2pts M&A per bullet 2 above. Unchanged FY'23 Other Items: ~19% to ~20% adj. effective tax rate ~230M diluted shares - Above average incremental investment (normal range ~40 bps year) ~\$235M interest expense – reflects refinancing \$700M debt in 1Q 2023 - Including estimated 2023 pension expense of \$20M, \$5M/QTR in other income / expense line item. Other items in other inc. / exp. such as FX impacts are unknown / not forecast-able Updated FY'23 Other Items: ~\$270M corporate costs (~\$250M prior) – +\$20M discrete enterprise-wide investments included in increased FY'23 guidance. Incremental investments in controls, electrification, automation ~\$50M in transformation and restructuring/other costs (~\$0.15 excluded from adj. EPS)** (~\$30M/~\$0.10 exc. from adj. EPS prior)

*Includes certain Non-GAAP financial measures. See the company's Q2 2023 earnings release for additional details and reconciliations.

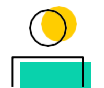
**Supports initiatives to deliver ~\$300M in annualized savings by YE 2023 (3X initial \$100M RMT stranded cost reduction target)

Trane Technologies Core Sustainability Strategy: Challenge Possible

Global Megatrends



CLIMATE CHANGE



DEMOGRAPHICS



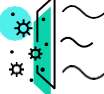
URBANIZATION



DIGITAL CONNECTEDNESS



RESOURCE SCARCITY



INDOOR AIR QUALITY (IAQ)

Our 2030 Commitments

The Gigaton Challenge

Reducing one gigaton of carbon emissions (CO₂e) from our customers' footprint

Leading by Example

Achieving carbon neutral operations, 10% absolute energy reduction, zero waste to landfill and net positive water

Opportunity for All

Creating gender parity in leadership, workforce diversity, investing in STEM education

Material Issues to Focus Our Efforts

Operations

Emissions intensity
Renewable energy
Water usage
Heating electrified

Products and Services

Energy efficiency
Low-emission products
Technology & innovation
Emerging market innovations
Product life cycle

Supply Chain

Responsible sourcing
Supplier diversity

Employees

Diversity and inclusion
Ethics and integrity
Safety
Development
Engagement

Communities

Access to cooling
Food and wellness
Education
Workforce development

Governance

Board oversight
Financial performance
Public policy

Targets Align with Global Priorities



2 Zero Hunger



4 Quality Education



5 Gender Equality



6 Clean Water & Sanitation



7 Affordable & Clean Energy



8 Decent Work & Economic Growth



9 Industry, Innovation & Infrastructure



11 Sustainable Cities & Communities



12 Responsible Consumption & Production

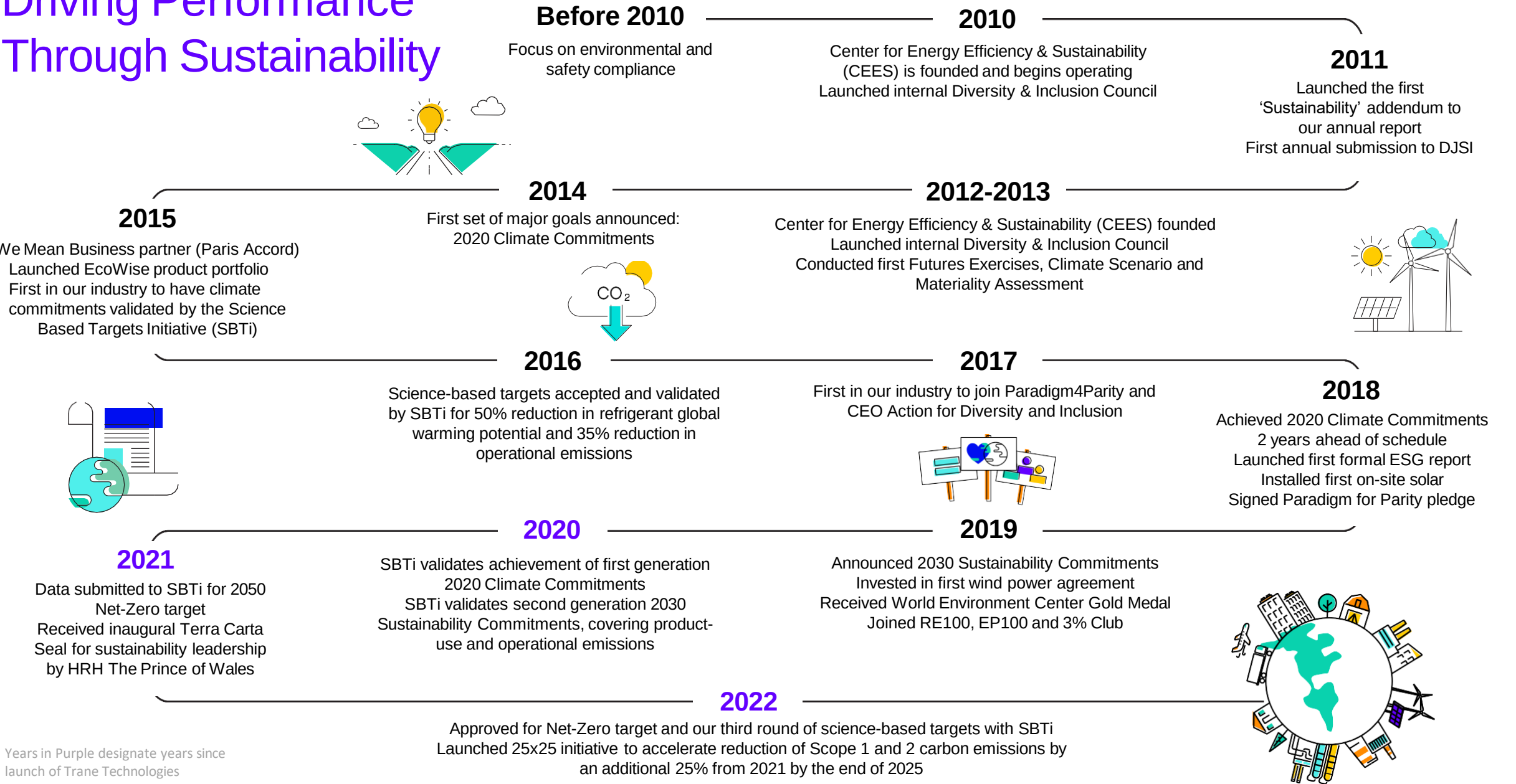


13 Climate Action



We believe in ambitious goals founded in science.
Trane Technologies is 1st in industry to be 2050 Net-Zero Approved by the Science-Based Targets Initiative (SBTi)

Driving Performance Through Sustainability



Years in Purple designate years since launch of Trane Technologies

Widely Recognized for Sustainability, Citizenship, Diversity, Inclusion & Engagement

Highly Regarded ESG Performance



12 Consecutive Years
Performed in the 97th percentile in the Capital Goods industry



2023 JUST 100: Ranked 18th
2nd consecutive year JUST 100 Listing; Industry Leader



Named to A List
One of 283 companies named to A List



97th Percentile
72/100; Gold Rating



72% percentile
in the industrial industry



3rd Consecutive Year
Recognized for reducing GHG emissions in our operations



Inaugural Recipient
Presented by His Majesty for Sustainable Market Transformation



***6th Percentile**
in the Building Products industry. 13th percentile globally. Identified as "Industry Leader"

People and Citizenship



11 years
listed on most admired companies list



Certified in 2023
For one year through rigorous, data-based model and employee survey



Finalist - Sustainability category
Also named to Fast Company's World Changing Ideas 2023 list



Forbes America's Best Large Employers 2023
Highlights the top companies in America with over 5,000 employees

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Q2 Organic Revenues up 11% Y-O-Y; Bookings Down 5%

Organic* Revenue	2020					2021					2022					2023	
	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3	Q4	FY	Q1	Q2
Americas	-2%	-13%	+2%	+1%	-3%	+9%	+19%	+4%	+14%	+11%	+13%	+13%	+19%	+14%	+15%	+8%	+9%
EMEA	-3%	-15%	-6%	-6%	-8%	+12%	+28%	+8%	+5%	+13%	+6%	+11%	+18%	+23%	+15%	+15%	+8%
Asia Pacific	-34%	-5%	-2%	-6%	-11%	+34%	+2%	+1%	+4%	+7%	+14%	-12%	+28%	+19%	+12%	+8%	+41%
Total	-5%	-13%	+50bps	-1%	-5%	+11%	+18%	+4%	+11%	+11%	+12%	+11%	+19%	+16%	+15%	+9%	+11%

Organic* Bookings	2020					2021					2022					2023	
	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3	Q4	FY	Q1	Q2
Americas	+11%	-5%	+8%	+2%	+4%	+36%	+29%	+20%	+31%	+29%	+6%	+10%	+11%	flat	+7%	-4%	-8%
EMEA	-2%	-20%	+6%	+9%	-3%	+18%	+53%	+25%	+13%	+27%	flat	-12%	-10%	+2%	-5%	+10%	+14%
Asia Pacific	-17%	-2%	-5%	+2%	-6%	+14%	+12%	+11%	+18%	+14%	+14%	+16%	+3%	-6%	+7%	+13%	+6%
Total	+6%	-7%	+7%	+3%	+2%	+31%	+30%	+20%	+27%	+27%	+6%	+7%	+8%	flat	+5%	-1%	-5%

*Organic revenues and bookings exclude acquisitions and currency

Q2 Non-GAAP Measures Definitions

Adjusted operating income in 2023 is defined as GAAP operating income adjusted for restructuring costs, transformation costs, non-cash adjustment for contingent consideration and merger and acquisition related costs. Adjusted operating income in 2022 is defined as GAAP operating income adjusted for restructuring costs, transformation costs and non-cash adjustment for contingent consideration. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 2, 3 and 4 of the news release.

Adjusted operating margin is defined as the ratio of adjusted operating income divided by net revenues.

Adjusted earnings from continuing operations attributable to Trane Technologies plc (Adjusted net earnings) in 2023 is defined as GAAP earnings from continuing operations attributable to Trane Technologies plc adjusted for an impairment of equity investment and the net of tax impacts of restructuring costs, transformation costs, a non-cash adjustment for contingent consideration and merger and acquisition related costs. Adjusted net earnings in 2022 is defined as GAAP earnings from continuing operations attributable to Trane Technologies plc adjusted for net of tax impacts of restructuring costs, transformation costs and non-cash adjustment for contingent consideration. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 2 and 3 of the news release.

Adjusted continuing EPS in 2023 is defined as GAAP continuing EPS adjusted for an impairment of equity investment and the net of tax impacts of restructuring costs, transformation costs, non-cash adjustment for contingent consideration and merger and acquisition related costs. Adjusted continuing EPS in 2022 is defined as GAAP continuing EPS adjusted for net of tax impacts of restructuring costs, transformation costs and non-cash adjustment for contingent consideration. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 2 and 3 of the news release.

Adjusted EBITDA in 2023 is defined as adjusted operating income adjusted for depreciation and amortization expense, other income / (expense), net and an impairment of equity investment. Adjusted EBITDA in 2022 is defined as adjusted operating income adjusted for depreciation and amortization expense, other income / (expense), net. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 4 and 5 of the news release.

Adjusted EBITDA margin is defined as the ratio of adjusted EBITDA divided by net revenues.

Q2 Non-GAAP Measures Definitions

Adjusted effective tax rate for 2023 is defined as the ratio of income tax expense adjusted for the net tax effect of adjustments for restructuring costs, transformation costs, non-cash adjustment for contingent consideration, and merger and acquisition related costs divided by adjusted net earnings. Adjusted effective tax rate for 2022 is defined as the ratio of income tax expense adjusted for the net tax effect of adjustments for restructuring costs, transformation costs and non-cash adjustment for contingent consideration divided by adjusted net earnings. This measure allows for a direct comparison of the effective tax rate between periods.

Free cash flow in 2023 is defined as net cash provided by (used in) continuing operating activities adjusted for capital expenditures, cash payments for restructuring costs, transformation costs and merger and acquisition related costs. Free cash flow in 2022 is defined as net cash provided by (used in) continuing operating activities adjusted for capital expenditures, cash payments for restructuring costs, transformation costs and the continuing operations component of the qualified settlement fund (QSF) funding. Please refer to the free cash flow reconciliation on table 8 of the news release.

Operating leverage is defined as the ratio of the change in adjusted operating income for the current period (e.g. Q2 2023) less the prior period (e.g. Q2 2022), divided by the change in net revenues for the current period less the prior period.

Organic revenue is defined as GAAP net revenues adjusted for the impact of currency and acquisitions. Organic bookings is defined as reported orders in the current period adjusted for the impact of currency and acquisitions.

Working capital measures a firm's operating liquidity position and its overall effectiveness in managing the enterprise's current accounts.

- **Working capital** is calculated by adding net accounts and notes receivables and inventories and subtracting total current liabilities that exclude short-term debt, dividend payable and income tax payables.
- **Working capital as a percent of revenue** is calculated by dividing the working capital balance (e.g. as of June 30) by the annualized revenue for the period (e.g. reported revenues for the three months ended June 30 multiplied by 4 to annualize for a full year).